

WORLDEX INDUSTRY & TRADING CO. A101160

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by

offtherun

2026 2027

Price:	28,800.00	EPS	0	0
Shares Out. (in M):	17	P/E	0	0
Market Cap (in \$M):	475,517	P/FCF	0	0
Net Debt (in \$M):	-187,263	EBIT	0	0
TEV (in \$M):	288,254	TEV/EBIT	0	0

Description

Worldex Industry & Trading is a 475bn won (~\$310mm) market cap South Korean company in the semiconductor parts industry. As someone who missed the entire parabolic South Korean semiconductors trade (doh!), I should be the last person pitching this kind of a company. However, I own and pitch it not because it's in South Korea or because I've suddenly discovered that the semiconductor industry is the place to be, but because it's an interesting activist driven, special situation that I believe is undervalued, perhaps significantly. Would I invest in this name if there wasn't an activist involved? Probably not. As the chart below shows, the stock has done nothing in the last five years even with one of the best backdrops the industry has ever seen. I believe the activist's involvement creates the only realistic path to a potential rerating.



Recommendation

Buy common equity. Worldex is a small but meaningfully levered way to play the upturn in semiconductor capex and the AI-driven etch intensity of advanced logic and memory, but the story is now as much about governance, compensation and capital allocation as it is about silicon rings and electrodes. It is a founder-controlled supplier that has compounded revenue and earnings at a healthy clip, carries a clean balance sheet, and is now under visible pressure from an activist to share more of that value with outside shareholders.

The core business is attractive: high-margin, consumables-based, levered to long-term semiconductor complexity and AI-related capex. And yet, the stock trades at less than 4.0x EBITDA and FCF. The balance sheet is rock solid with net cash making up ~40% of the market cap. Yes, valuation is clearly cheap, but the open question is whether governance and capital allocation will evolve quickly enough to unlock value for shareholders, or whether the current founder-controlled structure and newly outlined investment-heavy strategy will keep a discount in place, even as earnings continue to grow.

While I'm not a technology or a semiconductor industry expert, prospects for the business appear to be promising going forward. I don't need to spend much time explaining to anyone reading this about the hyperscaler capex upcycle where these companies are aggressively building out GPU clusters and

corresponding high-bandwidth memory, as well as foundries investing in advanced logic nodes to support those workloads. For Worldex, the relevant linkage is not to GPU shipments, but to how AI shifts the mix of wafer demand toward more etch-intensive processes. High-bandwidth memory stacks and leading-edge logic rely on dense 3D structures and high aspect ratio features that require more, and more complex, etch steps, which in turn increases the wear on silicon electrodes and rings inside the plasma chambers.

A key question or longer-term risk to the thesis is not whether AI is a tailwind but whether Worldex's recently announced incremental investment will earn returns anywhere close to its historical ROE and whether the timing is disciplined enough to avoid overbuilding into a cyclical peak. The 260bn won planned capex and investment represents ~3x the Company's current PP&E making the bet material for the business going forward. We know very little about this investment plan as it was just announced (to perhaps combat the activist's public messaging) but it's clearly something to keep an eye on.

Activist Involvement

The activist angle really comes to the forefront last year when VIP Asset Management, a domestic activist fund, accumulated 15.6% of the Company, making it the second-largest shareholder behind the CEO Johng-sik Bae. VIP's argument has not been that the business is broken, but that the governance and payout profile do not reflect the earnings power and balance sheet strength that management has built. Where management is clearly under scrutiny relates to board independence, executive compensation and capital allocation. In many ways, this activist campaign is framed in the financial press as a test case of how founder-led Korean small/mid-caps respond to the new corporate governance environment, especially after changes in Korean law that restrict directors from voting on their own compensation.

Investors have long hammered the Company's capital efficiency, noting that ROE has fallen as cash continues to accumulate on the balance sheet (230bn won currently) without any buybacks or meaningful increase in the payout ratio. VIP has called for at least 20bn won of near-term buybacks and a long-term payout of 40% of earnings, with TSR-linked executive compensation and a proper compensation committee, arguing that the stock is trading close to cash value and that the underlying business is being starved of an appropriate valuation multiple by governance.

At the March 2026 AGM, Worldex's proposal to establish new director compensation regulations and raise the overall compensation cap was defeated with only 31% of votes in favor and 69% against once directors' own votes were excluded, marking the first high-profile case where the new "Namyang Dairy" Supreme Court ruling, which barred directors from voting on their own pay, translated into a real-world block on compensation at a listed company. VIP's CEO attended the AGM in person, argued that the company's ~150bn won of cash and ~50bn won per year of operating cash inflow did not justify a low-single-digit payout ratio, and highlighted the fact that aggregate board compensation in the most recent year exceeded the total dividends paid to all shareholders.

The battle escalated into a full proxy fight around the June 2026 extraordinary shareholders' meeting. In the run-up, Worldex re-submitted essentially the same pay package as three separate items: (1) a proposal to lift the total director-fee cap; (2) a cap for inside and outside directors excluding the CEO; and (3) a separate cap for the CEO's own compensation. Additionally, the Company removed electronic voting and scheduled the meeting at 9:00am at the Gumi HQ. These efforts were clearly attempts to sidestep the spirit of the new law and depress minority participation.

VIP launched its first ever public solicitation for proxy voting, and two important institutions lined up on its side. Norges Bank, with about 4.5% of the stock, announced it would vote against all three items and ISS recommended that international institutions oppose the entire pay package. Despite the Company's efforts to engineer a favorable process, all three items were defeated on June 29th in a clean loss for management.

Worldex has responded with a "mid- to long-term growth and capital allocation plan" committing to 260bn won of investment through 2030. Of this, 190bn won would go towards core semiconductor materials capacity, 20bn won to next-gen materials R&D, and 50bn won to new growth areas. Management sees the current memory and AI-related demand as an opportunity to pre-invest in capacity and technology to lock in mid-to-long term growth drivers. Management emphasizes the structural growth of the semiconductor industry and the increasing sophistication of chip manufacturing as long-term demand drivers for its consumables. The plan materials state that Worldex intends to strengthen competitiveness in high value-added materials and parts and to secure sustainable growth by expanding production capacity and technology for silicon, quartz and ceramic parts used in advanced semiconductor processes. Management also highlights the importance of diversifying growth engines through targeted investments in areas like robotics, batteries and defense, though these are clearly secondary to the core semiconductor consumables focus.

Additionally, the Company put out a target of lifting the average dividend payout ratio to 10% over the next three years and introducing quarterly dividends. The market and activist have largely read that plan as a first concession rather than a resolution. The investment commitments may be sensible in the context of AI-driven capex, but the still-modest payout target and the failed attempt to re-raise director pay caps have reinforced the view that the real fight is now over governance, capital return discipline, and the composition and incentives of the board rather than over the health of the underlying business.

Business Overview

The Company was founded in 2000 and is headquartered in Gumi, a major Korean semiconductor and electronics industrial cluster. It is founder-led and headed by CEO Bae, who is also the largest shareholder with ~35% of the outstanding shares.

Management positions the Company as a aftermarket parts and materials company rather than an equipment OEM, emphasizing its role in high-purity, high-precision parts that sit inside process tools built by others. The Company manufactures semiconductor and display materials and consumable parts, with a core focus on silicon components used in the dry etch steps of wafer fabrication. It produces silicon ingots that are machined into electrodes, rings, boats and related parts for plasma etch chambers, and complements that with quartz components (rings, tubes, boats), fine ceramics and alumina parts used

across semiconductor, LCD, OLED and LED equipment. Its flagship products are silicon parts for etching – primarily electrodes and rings – which are consumables that wear out under plasma exposure and must be replaced regularly, giving the business a recurring revenue profile tied to fab utilization rather than just tool shipments.

Worldex sells primarily to leading global memory and logic chipmakers, with a heavy tilt toward Korean and other Asian fabs. It is my understanding that its largest customers are Samsung Electronics and SK Hynix, together accounting for ~40% of sales. Historically, I believe SK Hynix has been the biggest customer with Samsung revenues increasing as it has broadened second-source and localization programs. Beyond Korea, Micron and Intel are believed to be key U.S. customers, while Japanese and broader Asian exposure includes Kioxia/Toshiba, TSMC, UMC, Renesas, Sony and Mitsubishi, typically supplied either directly or via OEM channels. About 60% of revenue is described as memory-related (DRAM and especially NAND) and 40% non-memory.

Roughly 70% of sales go to overseas fabs across North America, Japan, Taiwan, China and other Asian regions, making Worldex meaningfully export-driven despite its Korean base. Sales are diversified but Asia-heavy with Korea contributing one third of the total annually but has been declining since 2022 while China has grown 3x over that time and now represents the single largest country exposure. Sales within Korea have been pressured as key Korean customers like Samsung and SK Hynix slashed legacy memory production to fund advanced AI and HBM capacity, though this was partially offset by a surge in Chinese mature-node utilization. U.S. and the rest of Asia and Europe sales have bounced around in recent years but today account for a third of total sales. The upshot is that Worldex today is an export-oriented Korean parts supplier with a particularly strong position in China-facing etch capacity, plus meaningful exposure to Korean and U.S. fabs.

Revenue by Region

(won in millions)

	FY20	FY21	FY22	FY23	FY24	FY25
China	13,745	22,842	34,758	78,311	94,649	99,400
<i>Annualized Growth</i>		66.2%	52.2%	125.3%	20.9%	5.0%
South Korea	49,216	83,232	118,435	112,904	106,430	95,408
<i>Annualized Growth</i>		69.1%	42.3%	-4.7%	-5.7%	-10.4%
United States	39,477	34,665	53,106	47,458	34,654	38,096
<i>Annualized Growth</i>		-12.2%	53.2%	-10.6%	-27.0%	9.9%
Others	53,244	49,319	49,630	49,415	71,059	58,862
<i>Annualized Growth</i>		-7.4%	0.6%	-0.4%	43.8%	-17.2%

From a process standpoint, Worldex sits squarely in the etch and deposition parts chain rather than in front-end wafer equipment or back-end packaging. Its silicon electrodes and rings are used in plasma etch tools where high-energy ions remove material selectively from the wafer; these components must maintain tight tolerances on purity, flatness and dimensional stability under high-temperature, corrosive environments. The same capabilities underpin its quartz and ceramic rings, boats and tubes, which are used in diffusion, deposition and thermal processes.

Worldex's competitive edge appears to be a combination of process know-how in etch consumables, strong ties to certain Chinese and Korean fabs, and a cost structure that supports 20%+ operating margins even through softer patches. The Company's segment and geographic breakdown shows that while Korean revenue has plateaued, China has grown sharply, suggesting that the firm has successfully penetrated Chinese fabs that may be more open to non-Japanese and non-U.S. suppliers amid export controls and localization efforts. This China tilt cuts both ways: it is a growth driver, but it also exposes Worldex to country risk, policy shifts and the ongoing bifurcation of the semiconductor supply chain.

Industry Overview

The global market for silicon components for etching is estimated to be \$15.7bn, with a projected 9.1% CAGR through 2031, driven by the expansion of semiconductor manufacturing capacity and the increasing complexity of integrated circuits. Asia-Pacific is singled out as the dominant region because of the concentration of advanced fabs in Taiwan, Korea and China – exactly where Worldex's customer base sits. On volume, the AI-driven capex cycle is pushing foundries and memory players to ramp advanced nodes and high-bandwidth memory capacity, which translates into more etch tools in the field and higher utilization of existing tools. Since Worldex's silicon parts are consumables that scale with etch activity, not just with the one-time sale of tools, sustained high utilization and incremental tool installs both expand its addressable demand.

Worldex operates in a concentrated but competitive niche. It competes globally with companies such as Hana Materials, CoorsTek, Mitsubishi Materials, SiFusion, KC Parts Tech and RS Technologies, which together constitute the core global vendor set for products it manufactures. All these players focus on high-purity silicon components for semiconductor equipment, and most have multi-decade relationships with major Korean, Japanese and U.S. equipment makers and device manufacturers. Within Korea, Hana Materials is arguably the most direct comparable as it also manufactures silicon parts for etching and has close ties with major Korean device makers. Hana operates primarily as an OEM supplier meaning they sell parts directly to the companies that build the semiconductor manufacturing machines. Worldex, on the other hand, operates in the aftermarket meaning they sell replacement parts directly to the chipmakers to be used in their existing, running machines.

The competitive dynamic is nuanced. On one hand, once a supplier's parts are qualified for use in a given chamber and process, switching costs for the fab can be non-trivial because even small differences in material properties or machining can affect process stability, defectivity and tool uptime. On the other hand, fabs and OEMs are increasingly multi-sourcing critical consumables to avoid supply disruptions and to exert pricing pressure, particularly as chipmakers push their own cost structures harder in the AI era.

Technically, Worldex is not differentiated at the level of proprietary IP comparable to a major equipment OEM, but it competes on a mix of materials know-how, machining precision, process compatibility qualification at key customers, and the ability to respond to new chamber designs from toolmakers. At advanced logic and memory nodes, etch steps become more numerous and more demanding (high aspect ratio structures, complex stacks, 3D NAND, HBM-related structures), which raises the bar for these parts: they must tolerate harsher chemistries and tighter tolerances while minimizing particle generation and process drift over their lifetime.

In that sense, the Company is levered to process complexity: as node shrinks and 3D stacking proceed, more of the cost stack inside fabs flows into etch and deposition consumables, particularly silicon parts. For AI and hyperscaler demand, this matters because the associated surge in HBM, advanced DRAM and logic capex tends to skew toward the most etch-intensive parts of the flow, which structurally increases the “content” of silicon rings and electrodes per wafer start and per installed etch tool.

However, AI does not remove cyclicity and may even amplify it. Hyperscaler capex tends to come in waves, and the semiconductor supply chain is still vulnerable to overbuilds and digestion periods. Given the scale of Worldex’s planned 260bn won investment, a scenario where AI-related capex peaks in the middle of that program and then slows would leave the Company with a larger fixed cost base and potentially underutilized capacity. That is one of the implicit concerns critics raise when they argue that management is leaning too far toward investment and not enough toward returning capital.

Financial Overview

Over the last several years Worldex has gone from a mid-sized consumables supplier to a meaningfully larger business with structurally high margins. From FY16 through FY25, revenues have 4x’d to nearly 300bn won as wafer fab activity and content per tool increased, while EBITDA increased from 10bn won to 74bn won. Over that period, operating margins have increased from mid-single digits to 20 – 23% range as the business scaled.

FY25 was the first clear step-down after that run. Full-year revenue slipped about 5% as weaker semiconductor demand, lower fab utilization and softer equipment spending took some volume out of the system, and operating profit fell about 17% to around 59bn won as mix and cost pressure pinched margins, although the company still held operating margin near the 20% area. Even so, operating cash flow remained solid at 60bn won for the year, and with capex running lower than the peak investment phase, cash and equivalents climbed to about 186bn won. Early 2026 results show more of a holding pattern than a sharp inflection: in Q1’26 revenue was about 69bn won, down mid-single digits year on year, but operating profit of 14bn won kept margin around 20.7%, and operating cash flow in the quarter jumped over 100% y/y, reinforcing the picture of a still-profitable, cash-generative business digesting a softer phase of the cycle rather than structurally breaking.

Summary Financials

(won in millions)

	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	LTM
Revenues	69,470	88,764	105,543	117,443	155,682	190,057	255,930	288,087	306,791	291,765	286,753
Annualized Growth	2.7%	27.8%	18.9%	11.3%	32.6%	22.1%	34.7%	12.6%	6.5%	-4.9%	
Gross Profit	17,511	24,721	35,356	38,097	51,166	57,629	69,938	86,555	94,654	84,838	84,319
% of Revenues	25.2%	27.9%	33.5%	32.4%	32.9%	30.3%	27.3%	30.0%	30.9%	29.1%	29.4%
Operating Income	3,723	11,362	21,957	23,290	35,796	40,208	50,684	64,772	70,305	58,544	58,062
% of Revenues	5.4%	12.8%	20.8%	19.8%	23.0%	21.2%	19.8%	22.5%	22.9%	20.1%	20.2%
EBITDA	10,284	17,414	26,594	29,464	42,720	47,797	62,103	79,178	85,508	73,539	73,182
% of Revenues	14.8%	19.6%	25.2%	25.1%	27.4%	25.1%	24.3%	27.5%	27.9%	25.2%	25.5%

Going forward, how concerned should investors be about the sales decline in Korea? The recent history of South Korean memory production has been defined by extreme whiplash. Following a severe market downturn and oversupply in 2022 and 2023, Samsung and SK Hynix implemented strategic, intentional production cuts across their legacy memory lines to stabilize crashing prices. They idled machines and reduced wafer output, which directly suppressed the replacement cycle for aftermarket consumable suppliers like Worldex. However, the market has completely inverted over the last year, leading to a massive global memory shortage driven by explosive demand for AI infrastructure and HBM. In response, South Korea recently unveiled an unprecedented public-private investment plan to build a massive new chipmaking hub in the country’s southwest region.

For Worldex, this massive build-out creates a complicated timeline. On paper, it is incredibly bullish as more factories mean more active etching machines, and because advanced nodes and HBM require complex 3D stacking, they carry a higher etch intensity that burns through Worldex’s silicon consumables much faster. However, this capacity expansion may not instantly reverse the Company’s declining Korean sales in the near term. Building new fabrication plants takes years, with major new capacity not expected to come online and scale until 2027 or 2028. Because the Company’s aftermarket revenue depends entirely on active machines processing wafers rather than factory construction, their Korean sales recovery may lag until these massive new facilities begin high-volume manufacturing. But in my opinion, it’s just a matter of time that the Company once again achieves revenue growth in Korea.

Capital allocation over the years has been skewed toward organic investment and balance sheet build-up rather than shareholder distributions. Over the last ten years, operating cash flow has totaled 312bn won and after capex spend of 104bn, the Company generated free cash flow of 208bn. Against this, total dividends to shareholders inexplicably totaled only 7.3bn.

Free Cash Flow & Dividends*(won in millions)*

	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	LTM
Cash from Operations	6,148	13,421	12,180	28,049	24,586	26,203	22,301	82,875	35,037	60,760	84,275
Capital Expenditures	-954	-3,398	-6,333	-6,502	-4,883	-24,141	-30,047	-10,716	-5,831	-10,752	-14,681
Cash Acquisitions								-6			
Free Cash Flow	5,194	10,023	5,847	21,547	19,703	2,062	-7,746	72,153	29,207	50,008	69,594
Dividends Paid	0	0	660	826	826	1,156	991	826	991	991	991
Dividends Paid / FCF	0.0%	0.0%	11.3%	3.8%	4.2%	56.0%	NM	1.1%	3.4%	2.0%	1.4%

In response to criticism about low payouts, Worldex has publicly stated that while dividends have historically been conservative, it intends to raise payout ratios toward peer levels and that the 10% three-year average target is a starting point that could be lifted if business performance is robust. Management has also emphasized that the timing of the value-up plan disclosure is driven by the need to lay out a coherent mid- to long-term strategy, not just by the shareholders' meeting; however, the market appears to view the timing as intimately connected to the activist campaign.

Valuation Thoughts

With the stock trading at less than 4.0x EBITDA, I don't think there's a ton of upside trying to get overly precise in valuing this business. The Company's best comp, Hana Materials, trades around 10x EBITDA. Hana pays a dividend and has repurchased shares and so the market isn't applying a governance discount to its valuation. In valuing Worldex, I've assumed an EBITDA range of 6.0 – 8.0x, reflecting a hefty governance discount. An EBITDA range of 70 – 130bn won looking out a couple of years seems reasonable given the strong growth prospects for the industry in the coming years.

Based on these high-level assumptions, I believe the stock could be worth 36,000 – 75,000 in the near-term, which compares favorably to the current market price of 28,800. Obviously, this valuation will prove to be irrelevant if the activist is not successful in shifting the current value destructive capital allocation priorities of the Company.

Valuation Range*(won in millions)*

	Low	Mid	High
EBITDA	70,000	100,000	130,000
EBITDA Multiple	6.0x	7.0x	8.0x
Enterprise Value	420,000	700,000	1,040,000
Plus: Excess Cash	229,977	229,977	229,977
Adjusted Enterprise Value	649,977	929,977	1,269,977
Less: Total Debt	42,714	42,714	42,714
Equity Value	607,263	887,263	1,227,263
Equity Value per Share	36,781	53,741	74,334
As a % of Current Price	128%	187%	258%

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

* Ideally, some form of near-term cooperation between the Company and VIP on capital allocation

* Update on the capital investment plan with specific details on timing and ROI

* Stabilize Korean revenues and demonstrate path to growth once again

Messages

No messages